

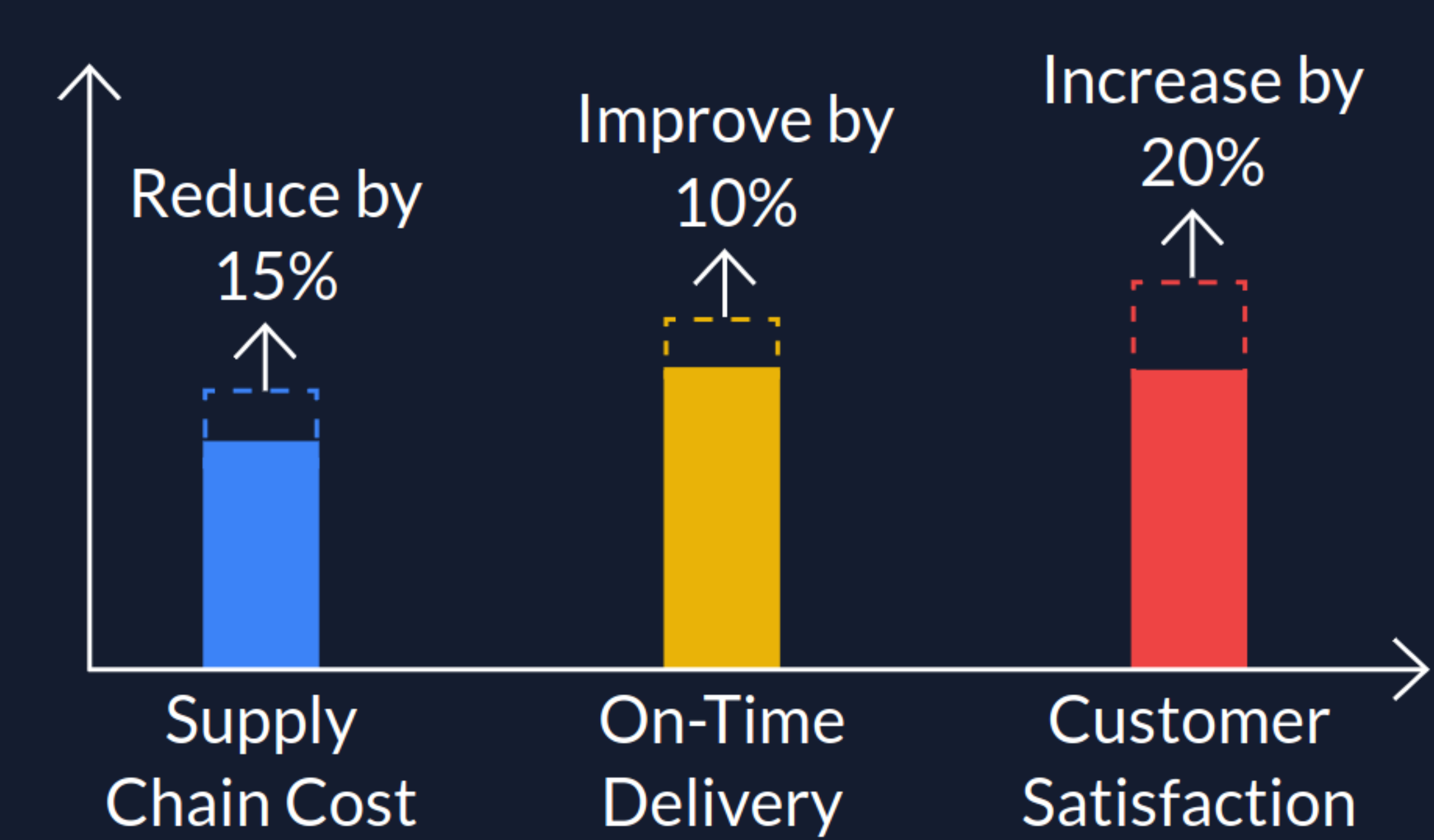
Case Study: Outcome-Based Pricing for Supply Chain Optimisation

A global retail company sought to optimise its supply chain operations to reduce costs, improve delivery times, and enhance customer satisfaction. Given the strategic importance of this initiative, the company engaged a consulting firm under an outcome-based pricing model.

Initial Contract Terms

Outcome Objectives:

- Reduce supply chain costs by 15% within 18 months
- Improve on-time delivery performance by ten percentage points
- Increase customer satisfaction scores by 20%



Baseline Measurements:

Established for each outcome objective based on historical data.



Compensation Structure:

Fixed Fee

Initial assessment and strategy development

Performance-based fees

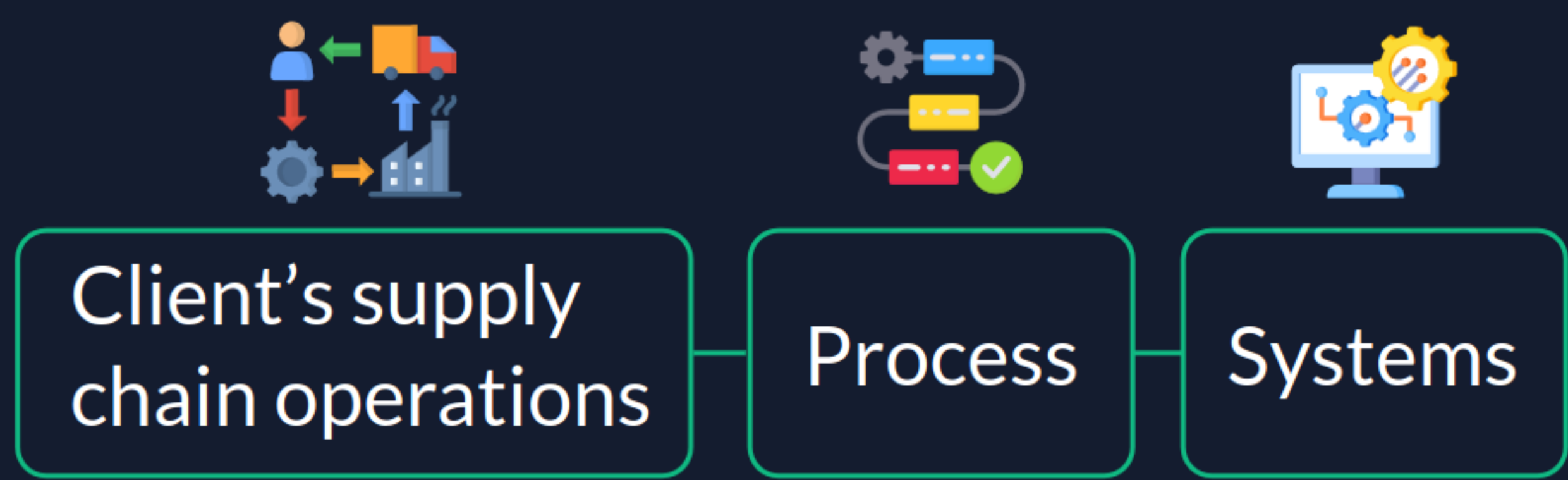
Achieving the outcome objectives, with bonuses for exceeding targets

Gain-sharing model

Consulting firm receives a percentage of the cost savings achieved

Project Execution - 1

The consulting firm comprehensively assessed:



A detailed roadmap and implementation plan were developed, with clear roles and responsibilities defined for both parties.

Sl No.	Roles	Responsibilities
01		
02		
03		

Regular performance monitoring and reporting mechanisms were established to track progress and make data-driven decisions.



The consulting firm collaborated closely with the client's teams, leveraging their expertise and fostering a shared commitment to achieving the desired outcomes.

